

- **Income tax.** The federal government, and some state and local governments, require you to pay tax on your **earned income**, which is the income you receive for work you do. The federal government and certain state and local governments also require you to pay tax on income you receive from investments. Such **unearned income** includes the interest you get from your savings account and the dividends or capital gains you receive from mutual funds, stocks, and bonds. (Not to mention any lottery money you may be lucky enough to win!) The total of your earned and unearned income is known as your **gross income**.
- **Social Security and Medicare payroll tax (FICA).** Everyone who works must contribute a portion of his or her wages to a fund that provides retirement income for people 65 and older, as well as disability benefits for those who can't work (that's Social Security) and health insurance for this same crowd (that's the Medicare part). Together, these two contributions make up your FICA tax, named for the Federal Insurance Contributions Act. In 2009, if you're an employee of a company, the Social Security tax you pay is 6.2% of your income, up to a maximum income of \$106,800. The Medicare tax is 1.45%, with no maximum. Your total employee contribution to Medicare and Social Security is 7.65% of your income, and your employer matches that amount, meaning all together the contribution is 15.3%. If you work for yourself, you have to cover the full 15.3% yourself; this is also referred to as the **self-employment tax**. Many states also impose state unemployment and disability insurance taxes.
- **Property tax.** Some state and local governments require residents to pay tax on certain types of property that they own. In Virginia, Kentucky, and Connecticut, for example, residents must pay **personal property tax** on the value of their cars each year. And in most states, if you own a home, you have to pay real estate tax, also known as **real property**